



Agreement Among Associated Canadian-Controlled Private Corporations to Allocate the Expenditure Limit (2024 and later tax years)

- Use this schedule to allocate the annual expenditure limit among associated Canadian-controlled private corporations (CCPCs), (subsection 127(10.2) of the Income Tax Act), in order to calculate the investment tax credit eligible for the 35% rate on qualifying scientific research and experimental development expenditures.
- An associated CCPC that has more than one tax year ending in a calendar year is required to file an agreement for each tax year ending in that calendar year.

Column 1: Enter the legal name of each corporation in the associated group, including CCPCs and non-CCPCs. Do not include corporations deemed not to be associated under subsection 127(10.22) of the ITA.

Column 2: Provide the business number for each corporation listed in column 1 (if a corporation is not registered, enter "NR").

Column 3: Enter "1" for CCPCs or "2" for non-CCPCs that applies for each corporation identified in columns 1 and 2.

Column 4: Enter the amount of the expenditure limit allocated to each corporation that has type of corporation code 1 in column 3. The rules for determining the expenditure limit that can be allocated (subsection 127(10.2) of the ITA) are explained below.

Allocating the expenditure limit

Date filed (do not use this area) **025**

Year	Month	Day

Enter the calendar year to which the agreement applies **050**

Year

Is this an amended agreement for the above-noted calendar year that is intended to replace an agreement previously filed by any of the associated corporations listed below? **075**

1 Yes ☐ 2 No ☐

1 Names of associated corporations ¹	2 Business number of associated corporations	3 Type of corporation code	4 Expenditure limit allocated ² \$
100	200	300	400
1.			
2.			
3.			
4.			
5.			

The expenditure limit (cannot be more than \$3,000,000 ³ or \$6,000,000 ⁴) **410**

The expenditure limit is calculated as follows:

A = For taxation years ending after March 18, 2019, and taxation years beginning before December 16, 2024, the total of all taxable capital employed in Canada by all associated corporations for their last tax year ending in the previous calendar year **minus** \$10 million. If this amount is negative, enter "0". If this amount is over \$40 million, enter \$40 million.

For taxation years beginning after December 15, 2024, the total of all taxable capital employed in Canada by all associated corporations for their last tax year ending in the previous calendar year **minus** \$15 million. If this amount is negative, enter "0". If this amount is over \$60 million, enter \$60 million.

Amount A **495**

For taxation years ending after March 18, 2019 and beginning before December 16, 2024

$(\$3,000,000) \times [(\$40,000,000 \text{ minus } A) \text{ divided by } \$40,000,000]$

For taxation years beginning after December 15, 2024

$(\$6,000,000) \times [(\$60,000,000 \text{ minus } A) \text{ divided by } \$60,000,000]$

¹ For the purposes of this agreement, association is determined in accordance with section 256, as modified by subsection 127(10.22) of the ITA, where applicable.

² The expenditure limit allocated to a particular corporation cannot be more than the amount calculated under subsection 127(10.2) of the ITA for that corporation's tax year ending in the calendar year. Special rules apply if a CCPC has more than one tax year ending in a calendar year and is associated in more than one of those years with another CCPC that has a tax year ending in the same calendar year. In this case, the expenditure limit for the second (and subsequent) tax year(s) will be equal to the expenditure limit allocated for the first tax year ending in the calendar year.

³ For tax years beginning before December 16, 2024.

⁴ For tax years beginning after December 15, 2024.